



Macroeconomics

Exploring the Key Components Of Global Economies



Macroeconomics

Topic: **Minimum Wage Laws**

INTRO ACTIVITY: SGHS STEAKHOUSE



Today we are running a restaurant together! SGHS Steakhouse is a very sophisticated and popular restaurant in Hyehwa. As co-owners, we have to **decide how to spend our hiring budget for workers**



We have a **hiring budget of ₩100,000** for workers' hourly wages. Is our job to figure out as a class which workers we need to hire to run our restaurant

INTRO ACTIVITY: SGHS STEAKHOUSE



Applicant pool:

New Law:

All workers must now earn
at least ~~W~~\$25,000/hr

- Mina – Expert Chef, ~~W~~\$30,000/hr
- Jisoo – Experienced Server, ~~W~~\$10,000/hr
- Joshua – Dishwasher, ~~W~~\$10,000/hr
- Olivia – Hostess, ~~W~~\$15,000/hr
- Cook, ~~W~~\$15,000/hr
- Social Media Manager, ~~W~~\$10,000/hr
- Joe – Delivery Driver, ~~W~~\$15,000/hr

INTRO ACTIVITY: SGHS STEAKHOUSE



Applicant pool (new wages):

- Mina – Expert Chef, **W35,000**/hr
- Jisoo – Experienced Server, **W25,000**/hr
- Joshua – Dishwasher, **W25,000**/hr
- Olivia – Hostess, **W25,000**/hr
- Nathan – Prep Cook, **W25,000**/hr
- Minho – Busser, **W25,000**/hr
- Anna – Social Media Manager, **W25,000**/hr
- Joe – Delivery Driver, **W25,000**/hr

INTRO ACTIVITY: SGHS STEAKHOUSE



Who did we decide to keep? Why?



What are some things we might have to do to make up for the workers we lost?

MINIMUM WAGE LAWS

Minimum Wage:

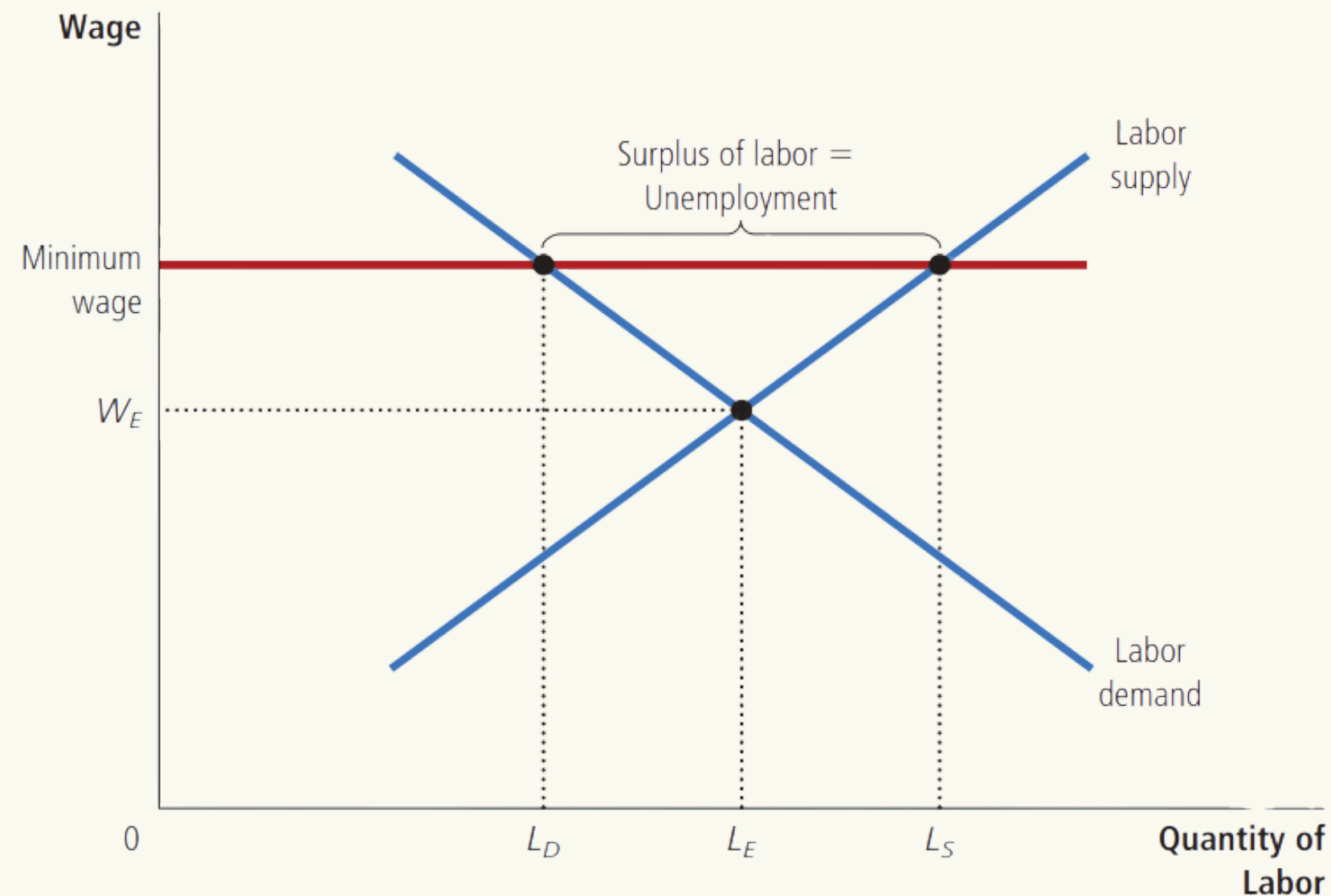
The lowest possible hourly wage that employers are allowed to pay employees by law

This is an example of a price floor



MINIMUM WAGE LAWS

Minimum Wage and Unemployment



Another way to define unemployment is as a **surplus of labour**.

In theory, increasing the minimum wage would cause a labour surplus and a subsequent rise in unemployment

MINIMUM WAGE LAWS

Minimum Wage and Structural Unemployment

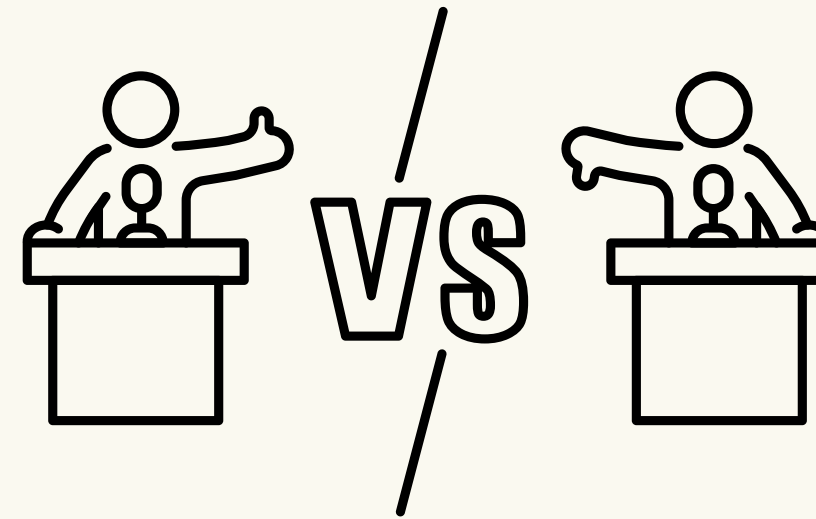
Unemployment caused by minimum wage laws is an example of **structural unemployment**

There is a failure of wages to balance labour supply and demand. This is a structural issue, not a natural consequence of a free labour market



CLASS DEBATE: MINIMUM WAGE

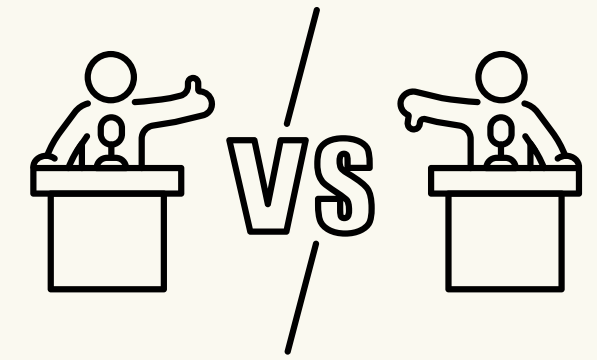
The concept of a minimum wage is a much debated topic among economists. Today it is our turn to argue whether having a minimum wage is good or bad for society



Instructions: Half of the class will be responsible for arguing for minimum wage in society, while the other half will argue against it

You will have the remainder of today's period to work on your arguments for the debate, which will be held at the beginning of next week's class

CLASS DEBATE: MINIMUM WAGE



Instructions cont'd: You are encouraged to do some research to help with your arguments. Each half of the class will be responsible for dividing debate prep among yourselves as follows:

Opening Statement Team (2-3 people)

- Defines and introduces your sides main argument briefly (what are you trying to prove?)

Evidence Team (2-4 people)

- Find evidence for why your side is correct. You can use online sources or class materials

Rebuttal Team (2-3 people)

- Predicts what the other side might argue and prepares counter points

Closing Statement Team (1-2 people)

- Creates a final statement to summarize your stance on the topic

**One person from each team on both sides of the debate should be ready to speak on debate day
(4 people total from each side)**